

Amendment No. 1 to HB1892

Crawford
Signature of Sponsor

AMEND Senate Bill No. 1760*

House Bill No. 1892

by deleting subsection (a) in the amendatory language of SECTION 2 and substituting:

(a) A tax increment agency may enter into a taxpayer agreement relative to a plan area after obtaining a written statement executed by each holder of an existing, previously recorded mortgage or deed of trust on the property securing indebtedness and in which each holder consents to the taxpayer agreement and indicates that the assessment does not constitute an event of default under the existing mortgage or deed of trust. The obligation to make payments under a taxpayer agreement that guarantee, enhance, or otherwise further secure bonds or lease obligations of the tax increment agency under this section, including taxpayer direct payments, must be treated in the same manner as property taxes for purposes of § 67-5-2101. Notwithstanding this section to the contrary, a tax increment agency shall not condition approval of a plan on the execution of a taxpayer agreement.

AND FURTHER AMEND by deleting subdivision (b)(2) in the amendatory language of SECTION 2 and substituting:

(2) Has parity with real estate tax liens, taking priority over any existing or subsequent mortgage, other lien, or other encumbrance; and

AND FURTHER AMEND by deleting subdivision (c)(2) in the amendatory language of SECTION 2 and substituting:

(2) On or before the date of filing and recording the taxpayer agreement, the tax increment agency shall send written notification to the county trustee for the county in which the plan area is located of requirements described in subdivision (c)(1), including

certification that the requirements will be administered by a third-party bond trustee.

Upon an event of nonpayment, the third-party bond trustee must coordinate with the county trustee to ensure compliance with the requirements in a taxpayer agreement in connection with any lien enforcement proceedings under a taxpayer agreement, to the extent not prohibited by applicable law.